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Canada Bread Reports Results for Fourth Quarter Fiscal 2007

EARNINGS INCREASE DESPITE RECORD HIGH INPUT COSTS

Toronto, Ontario – February 21, 2008 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the fourth quarter ended December 31, 2007.

Financial and operational highlights include:

- Earnings from operations increased 19% in the quarter; 14% for the year
- Earnings per share increased 27% to $0.88 in the quarter; $3.31 for the year
- Fresh Bakery operating earnings down 22% in the quarter; down 6% for the year
- Frozen Bakery operating earnings up 146% in the quarter; 111% for the year

Note: All earnings measures are defined as earnings before restructuring and other related costs. All earnings per share measures are defined as earnings per share before restructuring and other related costs and certain non-recurring tax adjustments.

"We achieved solid results in the quarter despite the continuation of unprecedented rises in commodity prices for flour and dairy products. Our results reflect our ability to manage this impact through a balanced combination of price increases and manufacturing and distribution efficiency improvements," said Richard Lan, President and CEO. "The Frozen Bakery business had a very strong quarter both in the U.K. and North America driven by contributions from the new acquisitions in the U.K. and operational efficiencies in North America. While the Fresh Bakery business balanced price and wheat, results for the quarter were impacted by the increased investment in marketing initiatives and inflationary costs"

Financial Overview

Sales for the fourth quarter increased 11% to $393.3 million compared to the same period last year, and increased 13% to $1.5 billion for the year. Excluding acquisitions, sales increased by 3% in the quarter and 5% for the year, reflecting increased volumes in the U.K. and price increases across all the bakery businesses.

Earnings from operations before restructuring and other related costs ("Adjusted Operating Earnings") increased by 19% to $31.4 million for the fourth quarter and by 14% to $129.5 million for the year. Price increases across both the Frozen and Fresh Bakery groups offset rising input costs. This combined with improved operational efficiencies and the contribution from acquisitions in the U.K. resulted in favourable results for the quarter and the year.

Net earnings before restructuring and other related costs and certain non-recurring tax adjustments for the fourth quarter were $22.4 million ($0.88 per share) compared to $17.7 million ($0.70 per share) in 2006. Net earnings for the year, on a comparable basis, were $84.2 million ($3.31 per share) compared to $78.5 million ($3.09 per share) last year.

The following is a summary of net earnings and earnings per share ("EPS") before restructuring and other related costs and certain non-recurring tax adjustments ("Adjusted EPS"):

($ millions)	Fourth Quarter			Full Year		
	2007	2006	Change	2007	2006	Change
Net Earnings	23.5	14.0	68%	83.8	53.6	56%
Restructuring and other related costs, net of tax	1.7	3.7	(55%)	3.2	3.7	(15%)
Tax benefit from lower future tax rates (ii)	(2.8)	-	-	(2.8)	-	-
U.S. tax adjustment (i)	-	-	-	-	21.2	-
Net earnings before restructuring and other related costs and non-recurring tax adjustments (iii)	22.4	17.7	27%	84.2	78.5	7%
Adjusted EPS (iii)	$0.88	$0.70	27%	$3.31	$3.09	7%

(i) In Q3 2006, the Company recorded a non-recurring tax expense of $21.2 million to write down future tax assets related to its U.S. frozen bakery business.

(ii) During 2007, the Company recorded a net tax benefit of $2.8 million related to the enactment of lower future tax rates.

(iii) These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs and the non-recurring U.S. tax adjustment are not representative of continuing operations.

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	Fourth Quarter			Year-to-Date		
	2007	2006	Change	**2007**	2006	Change
Fresh Bakery	**15.7**	20.0	(22%)	**88.4**	93.9	(6%)
Frozen Bakery	**15.7**	6.4	146%	**41.1**	19.5	111%
	31.4	26.4	19%	**129.5**	113.4	14%

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales for the fourth quarter increased 5% to $239.0 million compared to $227.6 million last year, largely due to the benefit of price increases implemented during the year. Sales for the year increased 5% to $945.9 million compared to $898.8 million last year.

Adjusted Operating Earnings in the fourth quarter decreased by 22% to $15.7 million and decreased by 6% to $88.4 million compared to $93.9 million for the year. Price increases largely offset rising direct input costs, primarily flour, but increased spend on marketing initiatives, inflationary increases in manufacturing costs and an industry-wide volume decline in the fresh bread category resulted in lower earnings for the quarter and full year.

In the first quarter of 2008, the Company completed the purchase of Aliments Martel Inc., a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec. The Company plans to grow in the sandwich business, and this acquisition is a significant step in supporting this strategy. With this acquisition, the Company becomes the national leader in the Canadian pre-packaged sandwich market.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales in the fourth quarter increased 21% to $154.3 million from $127.9 million last year and increased by 30% to $567.3 million for the year. A significant portion of the increase reflected the contribution from acquisitions in the U.K. Organic growth was 1% in the quarter and 5% for the year driven by volume growth in the U.K. bagel business and price increases.

Adjusted Operating Earnings for the quarter increased to $15.7 million from $6.4 million last year despite rising wheat and dairy costs. The North American frozen bakery business achieved a solid quarter-over-quarter improvement in earnings driven by the resolution of operational issues experienced in 2006 at the Roanoke, Virginia facility. The Company also completed a large warehouse expansion at this facility, that has optimized storage capacity and reduced third

party storage costs and freight. The U.K. bakery business benefited from the contribution of acquisitions and continued organic growth in its bagel business, offset in part by higher flour and butter costs.

Adjusted Operating Earnings for the year increased by 111% to $41.1 million from $19.5 million last year, primarily driven by the contribution from acquisitions and operational efficiencies as outlined above. In the U.K., the benefits of price increases were not sufficient to offset the impact of higher input costs and investments in promotion and advertising. However, these headwinds were offset by the positive contribution of acquisitions and organic growth in bagel and other specialty bakery categories. During the year, the Company acquired La Fornaia Ltd., a specialty Italian baker and, responding to customer needs, expanded capacity at its Rotherham bagel facility, positioning the business to continue its growth in the specialty bakery market. Through these investments, the Company now operates one of the largest specialty bakeries in the U.K.

Commodity Price Increases

Since the beginning of 2008, wheat prices have continued to increase at a significant rate. In order to offset these impacts, further price increases during 2008 will be necessary. The timing of such price increases may not match the increase in wheat prices and other inflationary increases, but over the medium-term the Company expects to recover these increased costs through increased prices and operating efficiencies.

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "will," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

These forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of appreciation of the Canadian dollar versus the U.S. dollar and Japanese yen; the availability and saleability of prices of livestock, raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; improvement of operating

efficiencies; continued access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; no expected actions of domestic and foreign governments and the general assumption that none of the risks identified under "Risk Factors" will materialize. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts.

Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have on its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully in the Company's Management Discussion and Analysis which will be available on SEDAR at www.sedar.com.

Other Matters

On February 21, 2008, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on April 1, 2008 to shareholders of record on March 10, 2008. Unless indicated otherwise in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2007 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Canada Bread Company Limited, which is 88.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2007 sales of $1.5 billion and employs approximately 8,400 people at its operations across North America and in the United Kingdom.

Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three and twelve months ended December 31, 2007 and 2006

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at December 31, **2007**	2006
Assets		
Current Assets:		
Cash and cash equivalents	**$ 2,847**	$ -
Accounts receivable	**68,464**	57,272
Inventories	**47,036**	46,081
Future tax asset - current	**5,937**	5,873
Prepaid expenses	**4,798**	3,576
Other current assets	**80,586**	-
	$ 209,668	$ 112,802
Property and equipment	**396,623**	374,647
Goodwill	**371,066**	372,980
Other long-term assets	**7,955**	58,115
Future tax asset - non-current	**-**	403
Other intangibles	**12,870**	5,321
	$ 998,182	$ 924,268
Liabilities and Shareholders' Equity		
Current Liabilities:		
Bank indebtedness	**$ 9,845**	$ 10,260
Accounts payable and accrued charges	**177,695**	169,134
Due to Maple Leaf Foods Inc.	**5,408**	9,336
Dividends payable	**1,525**	1,525
Income and other taxes payable	**15,078**	23,336
Current portion of long-term debt	**107,644**	364
	$ 317,195	$ 213,955
Long-term debt	**5**	86,471
Future tax liability - non-current	**33,522**	29,611
Other long-term liabilities	**12,417**	5,787
Shareholders' equity	**635,043**	588,444
	$ 998,182	$ 924,268

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

	Three months ended December 31,		Twelve months ended, December 31,	
	2007	2006	**2007**	2006
	(Unaudited)	*(Unaudited)*		
Sales	**$ 393,270**	$ 355,479	**$ 1,513,179**	$ 1,334,932
Earnings from operations before restructuring and other related costs	**$ 31,382**	$ 26,391	**$ 129,454**	$ 113,410
Restructuring and other related costs	**(2,427)**	(5,484)	**(4,619)**	(5,484)
Earnings from operations	**$ 28,955**	$ 20,907	**$ 124,835**	$ 107,926
Other income	**95**	292	**581**	432
Earnings before interest and income taxes	**$ 29,050**	$ 21,199	**$ 125,416**	$ 108,358
Interest expense	**1,542**	1,026	**5,618**	3,656
Earnings before income taxes	**$ 27,508**	$ 20,173	**$ 119,798**	$ 104,702
Income taxes	**3,979**	6,185	**36,047**	51,152
Net earnings for the period	**$ 23,529**	$ 13,988	**$ 83,751**	$ 53,550
Earnings per share - basic and diluted	**$ 0.93**	$ 0.55	**$ 3.30**	$ 2.11
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars)

	Twelve months ended December 31,	
	2007	2006
Retained earnings, beginning of period	**$ 450,733**	$ 406,649
Net earnings for the period	**83,751**	53,550
Inter-company acquisition	**(57)**	(3,366)
Dividends declared ($0.24 per share; 2006: $0.24 per share)	**(6,100)**	(6,100)
Retained earnings, end of period	**$ 528,327**	$ 450,733

Consolidated Statements of Comprehensive Income
(In thousands of Canadian dollars)

	Three months ended December 31,		Twelve months ended, December 31,	
	2007	2006	**2007**	2006
	(Unaudited)	*(Unaudited)*		
Net earnings for the period	**$ 23,529**	$ 13,988	**$ 83,751**	$ 53,550
Other comprehensive income (loss)				
Change in accumulated foreign currency translation adjustment	**(10,560)**	8,614	**(29,290)**	9,628
Change in unrealized derivative gain on cash flow hedges	**(1,775)**	-	**(1,543)**	-
	(12,335)	8,614	**(30,833)**	9,628
Comprehensive income	**$ 11,194**	$ 22,602	**$ 52,918**	$ 63,178

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

	Three months ended December 31, December 31,		Twelve months ended,	
	2007	2006	**2007**	2006
	(Unaudited)	*(Unaudited)*		
CASH PROVIDED BY (USED IN)				
Operating activities				
Net earnings	**$ 23,529**	$ 13,988	**$ 83,751**	$ 53,550
Add (deduct) items not affecting cash:				
Depreciation and amortization	**12,676**	11,606	**49,612**	45,010
Future income taxes	**3,386**	(1,502)	**4,374**	14,028
Loss (gain) on sale of property and equipment	**(68)**	(262)	**(515)**	(330)
Asset impairments and change in restructuring and other related costs	**1,455**	3,881	**2,002**	3,527
Other	**1,170**	(642)	**(1,369)**	(1,652)
Change in operating working capital	**(7,056)**	9,462	**(15,740)**	(7,791)
	$ 35,092	$ 36,531	**$ 122,115**	$ 106,342
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(6,100)**	(6,100)
Change in long-term debt	**(21,435)**	40,313	**20,764**	(1,824)
	$ (22,960)	$ 38,788	**$ 14,664**	$ (7,924)
Investing activities				
Additions to property and equipment	**(21,146)**	(15,521)	**(85,729)**	(47,998)
Proceeds from sale of property and equipment	**134**	301	**922**	1,744
Acquisition of businesses	**(396)**	(71,976)	**(48,865)**	(73,841)
Change in intangible assets	**(4)**	8	**155**	35
	$ (21,412)	$ (87,188)	**$ (133,517)**	$ (120,060)
Increase (decrease) in cash and cash equivalents	**(9,280)**	(11,869)	**3,262**	(21,642)
Cash and cash equivalents (bank indebtedness), beginning of period	**2,282**	1,609	**(10,260)**	11,382
Cash and cash equivalents (bank Indebtedness), end of period	**$ (6,998)**	$ (10,260)	**$ (6,998)**	$ (10,260)

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

	Three months ended December 31, December 31,		Twelve months ended,	
	2007	2006	**2007**	2006
	(Unaudited)	*(Unaudited)*		
Sales				
Fresh Bakery	**$ 239,003**	$ 227,606	**$ 945,853**	$ 898,797
Frozen Bakery	**154,267**	127,873	**567,326**	436,135
	$ 393,270	$ 355,479	**$ 1,513,179**	$ 1,334,932
Earnings from operations before restructuring and other related costs				
Fresh Bakery	**$ 15,677**	$ 20,001	**$ 88.402**	$ 93,928
Frozen Bakery	**15,705**	6,390	**41,052**	19,482
	$ 31,382	$ 26,391	**$ 129,454**	$ 113,410
Additions to property and equipment				
Fresh Bakery	**$ 9,425**	$ 13,093	**$ 40,393**	$ 36,109
Frozen Bakery	**11,721**	2,428	**45,336**	11,889
	$ 21,146	$ 15,521	**$ 85,729**	$ 47,998
Depreciation and amortization				
Fresh Bakery	**$ 6,507**	$ 6,064	**$ 25,683**	$ 23,286
Frozen Bakery	**6,169**	5,542	**23,929**	21,724
	$ 12,676	$ 11,606	**$ 49,612**	$ 45,010

	As at December 31,	
	2007	2006
Total assets		
Fresh Bakery	**$ 400,518**	$ 378,311
Frozen Bakery	**573,772**	529,360
Non-allocated assets	**23,892**	16,597
	$ 998,182	$ 924,268
Goodwill		
Fresh Bakery	**$ 131,256**	$ 128,251
Frozen Bakery	**239,810**	244,729
	$ 371,066	$ 372,980